



PHOTO BY SANDESH RAVIKUMAR

GREEN SIGNALS

- ▶ Currently, IRCTC is the only entity that is authorised to provide certain services to the Indian Railways including online ticketing, catering and selling drinking water on trains and at railway stations
- ▶ In the past few years, the company has ventured into new businesses like tourism. IRCTC organises budget and deluxe package tours for domestic

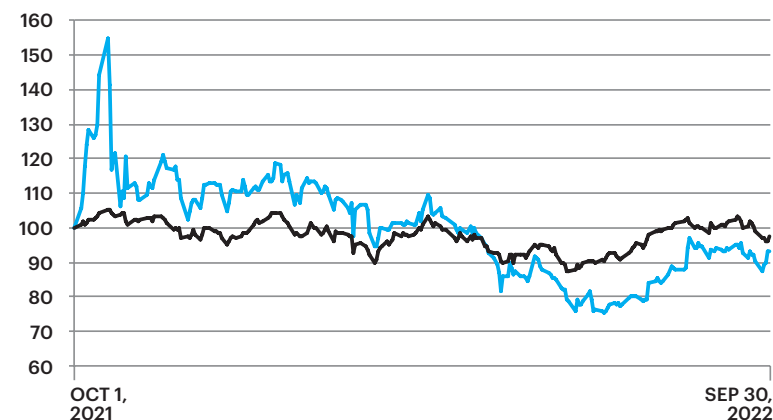
and foreign tourists

- ▶ IRCTC's growth appears to be higher due to a lower base, which is why analysts have maintained a neutral stance on the company
- ▶ The company says that beyond FY23, the key focus for the company will be the internet ticketing segment

SOURCE INDUSTRY, BT RESEARCH

ROLLING STOCK

IRCTC's stock price has underperformed the Sensex in recent months



■ IRCTC ■ BSE SENSEX; BASE=100
SOURCE ACE EQUITY

GRAPHICS BY RAHUL SHARMA

in travelling, will boost tourism revenues. Further, increased internet ticketing penetration and higher Rail Neer revenues prompt us to remain positive on the long-term prospects of the company," the IDBI report said.

Hasija said that beyond FY23, the key growth driver for the company will be the internet ticketing segment, where the company has an 81 per cent market share. "So there is going to be some [slow growth] in that [segment]... the company is now focussing on the non-convenience fee resources in addition to the convenience fee resources," she said. From September 1, 2019, IRCTC started charging ₹15 (plus GST) on booking of non-AC railway tickets and ₹30 on AC tickets online. Its non-convenience fee resources include catering, tourism, etc.

Joshi says that the company's growth appears to be higher on a lower base: "FY23 will definitely see a jump and that will be because of the lower base of FY22, but the right way to look at it will be: will the company be able to grow on a top line base of approximately ₹3,000 crore? I do not see a big double-digit growth from here on. Obviously being a monopoly and a market leader, it will not face any competitive risk as such. Growth will not be as high as what we saw in the past."

Analysts say IRCTC expects a slowing of growth on account of already having achieved high penetration. Going forward, the management would focus on increasing the share of non-convenience revenue and growing its tourism and catering business. "[The] company states that it has awarded 33 contracts for refurbishing of retiring rooms and will soon float tenders for other rooms as well. The result of this is expected to reflect in Q3FY23E numbers," the IDBI report said. **BT**

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